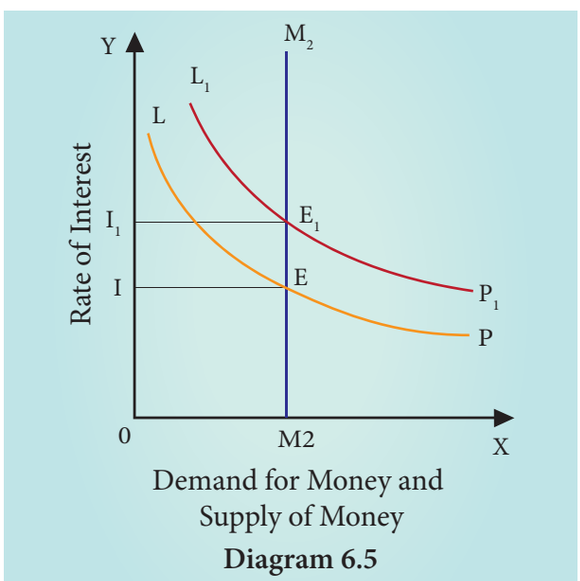
liquidity preference for speculative motive determines rate of interest. The supply of money is determined by the policies of the Government and the Central Bank of a country. The total supply of money consists of coins, currency notes and bank deposits (Say M = 200).

Equilibrium between Demand and Supply of Money

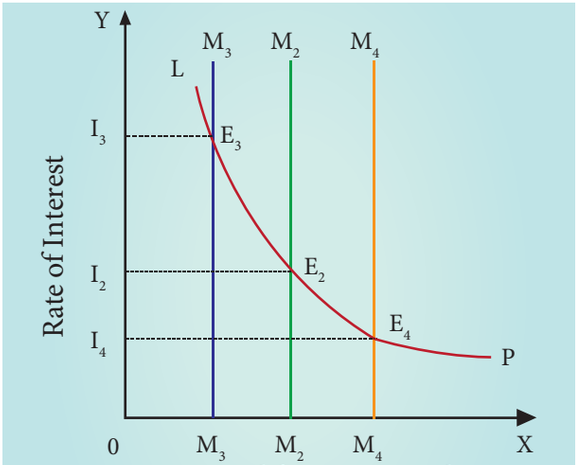
The equilibrium between liquidity preference and demand for money determines the rate of interest. In short-run, the supply of money is assumed to be constant (₹ 200).

In the diagram (6.5) LP is the liquidity preference Curve (demand curve). M_2 M_2 shows the supply curve of money to satisfy speculative motive. Both curves intersect at the point E, which is the equilibrium point. Hence, the rate of interest is I. If liquidity preference increases from LP to L_1P_1 the supply of money remains constant, the rate of interest would increase from OI to OI_1. Numerical examples given above can also be used for better understanding. Total demand for money=$M_t+M_p+M_s$



Demand for Money and Supply of Money

Diagram 6.5



Demand for Money and Supply of Money

Diagram 6.6

=0.125Y+0.125Y+(450-100i). Total supply of money=₹ -200. M_t and M_p are influenced by Y. Hence for the sake of easy understanding, Ms alone can be considered Demand for money=supply of money at equilibrium point:450-100i=200;450-200=100i;250=100i; i=250/100=2.5.This is equilibrium interest In reality, interest rate is also influenced by national income and commodity sector equilibrium.However, they are not included here for making the understanding easier.

In the diagram (6.6) Suppose LP remains constant. If the supply of money is OM_2, the interest is OI_2 and if the supply of money is reduced from OM_2 to OM_3, the interest would increase from OI_2 to OI_3. If the supply of money is increased from OM_2 to OM_4, the interest would decrease from OI_2 to OI_4.

Criticism

1. This theory does not explain the existence of different interest rates prevailing in the market at the same time.
2. It explains interest rate only in the short-run.

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